

What's in store?

How long will the sluggishness last? Many expect the GDP to pick up in the second half of the fiscal as the government pushes up capex spending, but it may not be enough to take the entire year's growth to 7 per cent or more. The third quarter (Oct.-Dec.) will also reflect the festive season numbers, which will indicate if consumption has improved. Agriculture production is expected to be healthy, which should aid rural consumption further. Food inflation is also expected to moderate by the fourth quarter, which would support better consumption. "Beyond that, urban consumption would depend on improvement in the employment scenario and real wage growth," says Rajani Sinha, chief economist with CareEdge, a ratings firm. "Sustained momentum in consumption growth would be critical for private investment to pick up."

There are other positives, too. Sinha says the order books of capital goods and road development companies are showing a significant uptick in the first half of the year and that bodes well for overall pick-up in capex. Joshi points to the robust Goods and Services Tax (GST) collection last month, which rose to Rs 1.82 lakh crore in November—an 8.5 per cent increase compared to the same month last year. Rural-centric schemes such as the PM Awas Yojana continue to hold out hope for rural India, while both the kharif and rabi crops are expected to do better than last year.

What could throw a spanner in the works are the persistent sluggishness in private investment and the import of cheaper goods from China that undercut domestic producers. "On the external front, while merchandise export growth is likely to remain muted amidst global uncertainties, we expect the momentum in services exports to continue," says Sinha.

India could draw a few lessons from the slowdown. While the central bank cannot take its eyes off inflation, there is criticism that interest rates have remained excessively restrictive. Given that, by the RBI's own estimates, inflation could fall to 4.2 per cent in the fourth quarter of this fiscal and 4.3 per cent in the first quarter of the next, perhaps it is time to view interest rates much more benignly. Economist Ashima Goyal, a former member of the RBI's Monetary Policy Committee, has argued that there is indeed room for the central bank to cut interest rates to boost growth. That would encourage the government to be more "supportive" and cut fuel prices to tame inflation, she adds. There is also an immediate need to boost private investment, and attract more foreign capital into labour-intensive sectors in India. The Donald Trump administration, set to take office in the US in January, could ignite another round of tariff wars with China. This may present India with a window of opportunity to penetrate new markets by strengthening its presence in international value chains and attracting increased foreign investment. Experts also cite a dire need to improve the skills of India's workforce to enable it to take up new challenges in high-tech, high-growth sectors like renewable energy and electric vehicles, to name a few.

The growth slump in the second quarter should be a grim reminder to the government that it cannot take high growth for granted. While external factors like geopolitical tensions are beyond its control, issues it does have a handle on, and which are hindering growth, must be tackled on a war footing to ensure jobs and better living conditions for its citizens. ■